Chapter 1 - Published Financial Statements

Learning outcome:

- Serves as a base for Section C - 20 mark questions
- Focus is on Financial statement formats
- No separate question from this chapter

IFRS 18 - Presentation and Disclosures in Financial Statements

Financial statements comprises of:

1. Statement of Financial Position - Financial position
2. Statement of Changes in Equity - Movement in equity
3. Statement of Profit & Loss and Other Comprehensive Income - Financial performance
4. Statement of Cashflows - Cash generation and cash management
5. Accounting policies and other notes

Statement of Financial Position

ASSETS	$
Non-Current Assets Intangible Assets Investments Property, plant and equipment	XX
Current Assets Trade Receivables Inventories Cash and cash equivalents	XX
TOTAL ASSETS	**XX**
EQUITY AND LIABILITIES	
Equity Share Capital Share premium Other Components of Equity • Revaluation surplus • Share premium	XX
Non-Current Liabilities Long term borrowings Long term provisions Deferred Tax	XX
Current Liabilities Trade Payables Bank overdraft Short term provisions Current tax payable	XX
TOTAL EQUITY & LIABILITIES	**XX**

Statement of Profit & Loss and Other comprehensive income

	$
Revenue	XX
Less: Cost of Sales	(XX)

Gross Profit	**XX**
Less: Selling & Distribution costs Less: Administration expenses	(XX) (XX)
Operating profit	**XX**
Add: Investment Income	XX
Profit before financing and taxes	**XX**
Less: Interest expense Less: Income taxes	(XX) (XX)
Profit for the period	**XX**
Other Comprehensive Income Gain/Loss on revaluation	 XX
Total Comprehensive Income for the year	**XX**

Statement of Changes in Equity

	Share Capital	Share premium	Revaluation Surplus	Retained Earnings	Total Equity
Opening Balance Prior year adjustment	X	X	X	X (X)	X (X)
Restated balances	**X**	**X**	**X**	**X**	**X**
Dividends				(X)	(X)
Issue of Share capital	X	X			
Total Comprehensive income			X	X	X
Transfer to retained earnings			(X)	X	
Closing Balance	**X**	**X**	**X**	**X**	**X**

Not for profit and Public sector entities
Main aim is not profits.

Basis	**Profit sector**	**Not for profit/Public sector**
Financial Aim	To make profit and increase shareholder wealth	To serve the public and achieve value for money
Accountability	Directors are accountable to shareholders	Managers are accountable to trustees/government/public
Availability of funds/finance	Finance are easily available in the form of loans and share capital	Finance limited to donations/ government subsidies